VARIOUS HUES OF GOLD

↘ **PHYSICAL GOLD:** Gold coins, bars, bullion and gold in ornamental form are physical gold. These are the purest physical form of gold that can be bought or sold and used to make jewellery. There are, however, security concerns when buying physical gold.

↘ **GOLD ETFS (EXCHANGE TRADED FUNDS):** These are financial instruments that have gold as an underlying asset. These are listed on the stock exchange for trading and investors can buy units of gold ETF that are backed by physical gold. This is an instrument monitored by market regulator SEBI. These are transparent and safe investment options. You need a demat account to invest in them.

↘ **SOVEREIGN GOLD BONDS (SGB):** Periodically offered by the RBI on behalf of government of India. These are securities denominated in multiples of grams of gold and are available through public and private sector banks. The returns on these bonds are pegged to the price of gold and guaranteed by GoI; they do not have physical gold as an underlying asset. SGBs come with 8-year tenures. Investors can redeem them after 5 years. SGB also earn a 2.5 per cent interest

↘ **GOLD FUND OF FUNDS:** Gold FoFs invest in gold exchange-traded funds to do away with the requirement for a demat account when investing in a gold ETF.

one thing clear—it is a valuable asset to own. One does not need to evaluate much with gold, you can pick from any of the financial forms of gold such as gold ETFs, gold mutual funds or even the SGB. All these avenues to invest in gold have made it more accessible as a financial instrument. Portfolios that follow asset allocation place gold with up to 10 per cent allocation, which has worked favourably for portfolio returns over the years.

No doubt, physical gold has its unique place, but gold as a financial instrument has its own advantage of safety. There are also no liquidity concerns when investing in gold as these are investments that can be redeemed for cash at any time. The aspect to explore when investing in gold is the way the gains are taxed on these instruments. Capital gains taxation rules are applicable in the case of physical gold, Gold ETFs and Gold Mutual Funds. Depending on the holding period of your investment, the time period between purchase and sale of your investments, either Short Term Capital Gains (STCG) or Long Term Capital Gains (LTCG) rules may come into play.

If the holding period of these investments prior to redemption or sale is up to three years or shorter, the gains are classified as STCG. In this case, the gains will be added to your taxable income for the applicable financial year and taxed as per the income tax slab rate. In case you have held your gold investment for over three years prior to the sale/ redemption, LTCG rules are applicable. Currently, LTCG on physical gold, Gold ETFs, and Gold Mutual Funds is calculated at 20 per cent of capital gains with indexation benefit.

But the taxation of SGBs is different. One needs to consider the tax on the interest earned, which is completely taxable as it is added to your taxable income for the relevant financial year and taxed according to the applicable slab rate. In case of early redemption after five years, the gains are completely tax-free. The Reserve Bank of India typically offers redemption windows every six months after completion of the five-year lock-in that can be utilised for completing the premature encashment. In case you hold the SGB till maturity, the gains from the investment are again tax-free.

However, if you sell the SGB through the secondary market, you will be taxed according to capital gains taxation. So, make sure that you do not lose out on the gains that your gold investments make by not being aware of the taxation on gains. Invest smartly in gold and do so through financial instruments as they provide more flexibility than gold in physical form. ■

–Narayan Krishnamurthy

PHYSICAL GOLD

UPSIDE	DOWNSIDE
↘ No need for demat account ↘ No investment charge/fee ↘ No paperwork in trading ↘ Price of gold is linked to the market price	↘ Not safe, as the risk of theft exists

GOLD ETF

UPSIDE	DOWNSIDE
↘ Instead of buying physical gold, one invests in a financial instrument that has underlying gold ↘ Value of gold ETF depends on the prevailing price of gold ↘ Safe holding compared to physical gold	↘ Need a demat account ↘ Exposed to gold price variation-related risks ↘ Asset management and brokerage charges apply ↘ Paperwork involved in trading

GOLD MUTUAL FUNDS

UPSIDE	DOWNSIDE
↘ Investments in companies involved in gold mining ↘ Can invest like any other mutual fund ↘ Not directly impacted by price of gold	↘ Exposed to investment related risks ↘ Asset management and other entry/exit charges applicable ↘ Paperwork involved in trading